

26STCV11978 26STCV11978

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Case Number: 26STCV11978 Hearing Date: July 22, 2026 Dept: 413

TENTATIVE RULING

HEARING DATE: 07/22/2026

CASE NUMBER: 26STCV11978

CASE NAME: PASTOR OSUNA v. PUBLIC HEALTH FOUNDATION EN...

MOVING PARTY: Defendant PUBLIC HEALTH
FOUNDATION ENTERPRISES, INC.

OPPOSING PARTY: Plaintiff PASTOR OSUNA

PROCEEDING: Motion to compel arbitration

RULING SUMMARY: Defendant Public Health Foundation
Enterprises, Inc. dba Heluna Health's Motion to Compel Arbitration is granted.

The action, 26STCV11978 PASTOR OSUNA v,
PUBLIC HEALTH FOUNDATION, is stayed pending the arbitration between Plaintiff
Pastor Osuna and Defendant Public Health Foundation Enterprises, Inc. dba
Heluna Health. The Court sets and Order
to Show Cause re Status of Arbitration for _____, 2026, at
8:30AM.

Background

On

April 14, 2026, Plaintiff Pastor Osuna ("Plaintiff") filed a Complaint against defendants Public Health Foundation Enterprises, Inc. dba Heluna Health ("Heluna") and Los Angeles County Department of Public Health ("DPH," and collectively "Defendants"), alleging six causes of action for (1) Wrongful Termination in Violation of Public Policy against Heluna; (2) Interference with California Family Rights Act (Gov. Code § 12945.2) against Defendants; (3) Retaliation for Exercising California Family Rights Act Rights (Gov. Code § 12945.2) against Defendants; (4) Promissory Estoppel against Heluna; (5) Breach of Contract against Heluna; and (6) Unfair Competition (Bus. & Prof. Code §§ 17200 et seq.) against Heluna.

On May 19, 2026, Heluna filed this Motion to Compel Arbitration. On July 09, 2026, Plaintiff filed his Opposition. On July 15, 2026, Heluna filed its Reply.

LEGAL STANDARD

California law incorporates many of the basic policy objectives contained in the Federal Arbitration Act ("FAA"), including a presumption in favor of arbitrability. (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 971-72.) Code of Civil Procedure section 1281.2 permits a party to file a motion to request that the Court order the parties to arbitrate a controversy. Under that provision, the Court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that:

(a) The right to compel arbitration has been waived by the petitioner; or

(b) Grounds exist for the revocation of the agreement.

(c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact. For purposes of this section, a pending court action or special proceeding includes an action or proceeding initiated by the party refusing to arbitrate after the petition to compel arbitration has been filed, but on or before the date of the hearing on the petition. This subdivision shall not be applicable to an

agreement to arbitrate disputes as to the professional negligence of a health care provider made pursuant to Section 1295.

(Code Civ. Proc. § 1281.2.)

Doubts as to whether an arbitration clause applies to a particular dispute are to be resolved in favor of sending the parties to arbitration. (Id.) The Court should order them to arbitrate unless it is clear that the arbitration clause cannot be interpreted to cover the dispute. (Id. [" . . . unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for the revocation of the agreement"].) Unless the parties clearly and unmistakably provide otherwise, the question of whether the parties agreed to arbitrate is to be decided by the court, not the arbitrator. (Id.)

The right to arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract. (Id.) There is no public policy favoring arbitration of disputes which the parties have not agreed to arbitrate. (Id.)

The party seeking to enforce the arbitration agreement bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence. (Giuliano v. Inland Empire Personnel, Inc. (2007) 149 Cal.App.4th 1276, 1284.) The trial court first decides whether an enforceable arbitration agreement exists between the parties and then determine whether the plaintiff's claims are covered by the agreement. (Omar v. Ralphs Grocery Co. (2004) 118 Cal.App.4th 955, 961.)

The party opposing the petition to compel arbitration bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. (Giuliano v. Inland Empire Personnel, Inc., supra, at 1284.) In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination. (Id.)

DISCUSSION

A.

Heluna has shown the existence of an arbitration agreement.

Under both the Federal Arbitration Act ("FAA") and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (*Winter v. Window Fashions Professions, Inc.* (2008) 166 Cal.App.4th 943, 947.) The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code Civ. Proc. § 1281.2.) In ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (*Mendez v. Mid-Wilshire Health Care Center* (2013) 220 Cal.App.4th 534, 541.)

Once petitioners allege that an arbitration agreement exists, the burden shifts to respondents to prove the falsity of the purported agreement, and no evidence or authentication is required to find the arbitration agreement exists. (See *Condee v. Longwood Mgt. Corp.* (2001) 88 Cal.App.4th 215, 219.) However, if the existence of the agreement is challenged, "petitioner bears the burden of proving [the arbitration agreement's] existence by a preponderance of the evidence." (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413. See also *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1058-1060.)

"With respect to the moving party's burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court. (See *Condee*, supra, 88 Cal.App.4th 215, 218; see also Cal. Rules of Court, Rule 3.1330 ["A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference"].) Once such a document is presented to the court, the burden shifts to the party opposing the motion to compel, who may present any challenges to the enforcement of the agreement and evidence in support of those challenges. [Citation]" (*Baker v. Italian Maple Holdings, LLC* (2017) 13 Cal.App.5th

1152, 1160.)

Heluna asserts that a valid written arbitration agreement exists, as, on or about March 21, 2024, Plaintiff signed an Employee Handbook that included an arbitration agreement. The arbitration agreement reads, in pertinent part:

Any controversy, dispute or claim between you and Heluna Health, or its officers, agents or other employees, with the exception of any claim made pursuant to the California Private Attorney General Act, shall be settled by binding arbitration, at the request of either party, provided however that employees and Heluna Health may only bring claims against each other in their individual capacity and not as a class representative or class member in any purported class or representative proceeding. Arbitration shall be the exclusive method for resolving any dispute or claim covered by this Section of the Handbook, provided, however, that either party may request provisional relief from a court of competent jurisdiction, as provided in California Code of Civil Procedure Section 1281.8. The arbitrability of any controversy, dispute or claim under this policy shall be determined by application of the substantive provisions of the Federal Arbitration Act (9 U.S.C. sections 1 and 2) and by application of the procedural provisions of the California Arbitration Act. Even if Heluna Health does not sign for its receipt or acknowledgement of this policy, Heluna Health, like the employee, agrees to be bound by this policy and agrees to arbitrate all disputes with its employees or former employees.

The claims which are to be arbitrated under this policy include, but are not limited to, claims for breach of trade secret law, claims regarding breaches of confidentiality, violation of non-disclosure/nonsolicitation provisions, embezzlement/conversion, employee theft, claims for wages and other compensation, claims for breach of contract (express or implied), claims for violation of public policy, wrongful termination, tort claims, claims for unlawful discrimination, harassment and/or retaliation (including, but not limited to, race, religious creed, color, national origin, ancestry, physical disability, mental disability, gender identity or expression, medical condition, marital status, age, pregnancy, sex or sexual orientation) to the extent allowed by law, and claims for violation of any federal, state, or other government law, statute, regulation, or ordinance, except for claims for workers' compensation, unemployment insurance benefits and petitions or charges that could be brought before the National Labor

Relations Board. Mandatory arbitration will not preclude you from filing an administrative charge or complaint with either the Equal Employment Opportunity Commission or the California Department of Fair Employment and Housing.

The employee and Heluna Health will select an arbitrator by mutual agreement. If the employee and Heluna Health are unable to agree on a neutral arbitrator, either party may elect to obtain a list of arbitrators from the Judicial Arbitration and Mediation Service ("JAMS"). The rules for JAMS may be obtained from the Human Resources department or can be found online at <http://www.jamsadr.com>.

The demand for arbitration must be in writing and must be made by the aggrieved party within the statute of limitations period provided under applicable California and/or Federal law for the particular claim. Failure to make a written demand within the applicable statutory period constitutes a waiver to raise that claim in any forum. Arbitration proceedings will be held in the county where the employee works.

The arbitrator shall apply applicable California and/or Federal substantive law to determine issues of liability and damages regarding all claims to be arbitrated, and shall apply the California Evidence Code to the proceeding. The parties shall be entitled to conduct all discovery to which they would have been entitled to had the parties' controversy been filed in a California Superior Court and the arbitrator shall have the power to limit such discovery pursuant to motions and protective orders under the same rules and limitations as if the arbitrator were a California Superior Court judge. The arbitrator shall hear motions for summary disposition as provided in the California Code of Civil Procedure.

Unless otherwise specified in this arbitration policy, the arbitrator shall rely on the California Arbitration Act, Cal. Civ. Proc. Code § 1282 et seq., to conduct the arbitration and any pre-arbitration activities.

Within thirty (30) days following the hearing and the submission of the matter to the arbitrator, the arbitrator shall issue a written opinion and award which shall be signed and dated. The arbitrator's award shall decide all issues submitted by the parties, and the arbitrator may not decide any issue not submitted. The arbitrator shall prepare in writing and provide to the parties a decision and award which includes factual findings and the reasons upon which the decision is based. The arbitrator shall be permitted

to award only those remedies in law or equity which are requested by the parties and allowed by law.

The decision of the arbitrator shall be binding and conclusive on the parties and cannot be reviewed for error of law or legal reasoning of any kind. Judgment upon the award rendered by the arbitrator may be entered in any court having proper jurisdiction. The cost of the arbitrator and other incidental costs of arbitration that would not be incurred in a court proceeding shall be borne by Heluna Health. The parties shall each bear their own costs and attorneys' fees in any arbitration proceeding, provided, however, that the arbitrator shall have the authority to require either party to pay the costs and attorneys' fees of the other party, as is permitted under federal or state law, as a part of any remedy that may be ordered.

BOTH YOU AND HELUNA HEALTH UNDERSTAND THAT BY USING ARBITRATION TO RESOLVE DISPUTES THEY ARE WAIVING ANY RIGHT THAT THEY MAY HAVE TO A JUDGE OR JURY TRIAL WITH REGARD TO ALL ISSUES CONCERNING EMPLOYMENT.

If either party to this arbitration agreement files a lawsuit against the other in a court or administrative agency instead of requesting arbitration of the dispute, the party seeking to enforce this arbitration agreement can serve the suit-filing party with written notice of this arbitration agreement. If the party seeking to enforce the arbitration agreement provides this written notice, the party filing suit has five (5) days from the date of service (not extended for any time period, regardless of the manner of service) to personally serve a writing on the party seeking to enforce the arbitration agreement, agreeing to arbitrate the dispute. If the suit-filing party does not timely serve the agreement to arbitrate and the party seeking to enforce the arbitration agreement successfully compels the suit-filing party to arbitration, the party seeking to enforce this arbitration agreement shall be entitled to the reasonable attorneys' fees it incurred in enforcing this arbitration agreement.

Only the CEO may modify this policy in a signed writing and only as is necessary to make this policy enforceable under any federal, state, or local law or other applicable case law effective after this policy's initial dissemination to its workforce. Otherwise, no employee can modify this policy in any manner or enter into any agreement that is contrary to this policy. If any term, provision, covenant or condition of this policy is held by a court of competent jurisdiction or an arbitrator to be invalid, void, or unenforceable,

the remaining terms and provisions of this policy will remain in full force and effect and shall in no way be affected, impaired or invalidated.

If any portion of this section is declared unenforceable by statute, ordinance or court decision, the remaining portion shall remain in full force and effect.

(Decl. Louis Gutierrez ¶ 6, Exh. A.)

Plaintiff's signature is dated
March 21, 2024. (Id.)

Accordingly, Heluna meets its initial burden to show that an arbitration agreement between the parties exists and the burden shifts to Plaintiff.

B.
The arbitration agreement is
subject to the CAA

As a threshold matter, the Court must determine which body of law – the FAA or the California Arbitration Act (Code Civ. Proc., § 1280 et seq.) ("CAA") – applies to the issues presented here as the two statutory schemes apply different standards and presumptions. The FAA embodies a strong federal policy favoring arbitration. To assure uniform results as to arbitrability of disputes subject to the FAA, conflicting state law is preempted under the Supremacy Clause: "Federal law in the terms of the Arbitration Act governs . . . [arbitrability] in either state or federal court." (Southland Corp v. Keating (1984) 465 U.S. 1, 12; Preston v. Ferrer (2008) 552 U.S. 346, 353. See also Muller v. Roy Miller Freight Lines, LLC (2019) 34 Cal.App.5th 1056, 1062 [FAA preempts any state law rule that "'stand[s] as an obstacle to the accomplishment of the FAA's objectives'"].)

Here, the arbitration agreement states clearly: "The arbitrability of any controversy, dispute or claim under this policy shall be determined by application of the substantive provisions of the Federal Arbitration Act (9 U.S.C. sections 1 and 2) and by application of the procedural provisions of the California Arbitration Act." (Decl. Louis Gutierrez at ¶ 6, Exh. A.)

The parties have expressly incorporated the FAA's substantive provisions and the CAA's procedural provisions.

C.

Co-defendant DPH is not a party to the arbitration agreement, leading to the application of Code Civ. Proc. § 1281.2(c)

Plaintiff argues that under Code of Civil Procedure section 1281.2(c), the arbitration agreement must be denied or stayed as DPH is a third party that did not sign and is not bound by the arbitration agreement.

Heluna argues that Code of Civil Procedure section 1281.2(c) does not require denial of arbitration, but rather allows the Court discretion to select the procedure that best accommodates both the parties' contractual agreement to arbitrate and the efficient administration of justice. Heluna believes the appropriate course of action is to compel arbitration between the parties who agreed to arbitrate while staying the related court proceedings.

Code of Civil Procedure section 1281.2(c) provides that the Court shall order arbitration unless it determines:

(c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact.

Under California law, when a party to an arbitration agreement is also a party to a pending court action with a third party, and there is a possibility of conflicting rulings on a common issue of law or fact, the court has several options – (1) it may refuse to compel arbitration, (2) it may order intervention or joinder as to all or certain issues, (3) it may order arbitration among the parties who have agreed to arbitrate and stay the pending court action or proceeding pending the outcome of the arbitration proceeding, or (4) it may stay the arbitration pending completion of the proceedings in the other forum. (Code Civ. Proc. §

1281.2.)

The Court finds that the better course is to order arbitration between the parties that have agreed to arbitrate and stay the pending action pending the outcome of the arbitration proceeding.

D.

The arbitration agreement contains two substantively unconscionable terms, which are severable.

The doctrine of unconscionability refers to “an absence of meaningful choice on the part of one of the parties together with contract terms which are unreasonably favorable to the other party.” (Sonic-Calabasas A, Inc. v. Moreno, (2013) 57 Cal.4th 1109, 1133.) It consists of both procedural and substantive components - “the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results.” (Id.)

Both substantive and procedural unconscionability must be present to invalidate an arbitration agreement; however, they do not need to be present in the same degree. (Armendariz v. Found Health & Psychcare Services, Inc., (2000) 24 Cal.4th 83, 114; Parada v. Superior Court (2009) 176 Cal.App.4th 1554, 1570.) “Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves. In other words, the more substantively unconscionable the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Armendariz, supra, (2000) 24 Cal.4th 83 at 114.)

“The party resisting arbitration bears the burden of proving unconscionability.” (Pinnacle Museum Tower Association v. Pinnacle Market Development (US), LLC, (2012) 55 Cal.4th 223, 247.)

Plaintiff argues that the arbitration agreement is unconscionable because: (1) employees would bear the expenses of arbitration; (2) Heluna reserved the unfettered right to amend, modify, rescind, delete, supplement, or add to the employee handbook; and (3) the arbitrator’s decision cannot be reviewed for error of law or legal reasoning. Citing to Armendariz v. Foundation Health

Psychcare Services, Inc. (2000) 24 Cal.4th 83 ("Armendariz"), Plaintiff contends that, due to the above, the arbitration agreement is unilateral, and the unconscionable terms cannot be severed.

Heluna emphasizes that under the arbitration agreement, only the Chief Executive Officer may modify the arbitration provision, only in a signed writing, and only as necessary to make the policy enforceable under subsequently enacted law. Heluna argues that the arbitration policy satisfies each of the minimum requirements set out in Armendariz as it provides for a neutral arbitrator selected by mutual agreement or JAMS, allows discovery, applies California procedural law and federal substantive law, requires a written decision containing factual findings, and requires Heluna to bear the costs unique to arbitration. Heluna rebuts Plaintiff's arguments and contends that, should any provision be found unenforceable, California law requires severance.

Regarding Plaintiff's assertion that the agreement is unilateral, a contract of adhesion is only sufficient to establish some degree of procedural unconscionability. (See Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal.4th 899, 915.) "By itself, an adhesion contract may present a low or modest degree of procedural unconscionability, but that can 'rise[] to a moderate level' when the party drafting the agreement fails to provide a copy of the applicable arbitration rules." (Nelson v. Dual Diagnosis Treatment Center, Inc. (2022) 77 Cal.App.5th 643, 660 [internal citations omitted].)

Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh." (Carmona v. Lincoln Millennium Car Wash, Inc. (2014) 226 Cal.App.4th 74, 85 [citations omitted].) A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be so one-sided as to 'shock the conscience.'" (Id.) The "paramount consideration" is the mutuality of the obligation to arbitrate. (Nyulassy v. Lockheed Martin Corp. (2004) 120 Cal.App.4th 1267, 1287.)

First, Plaintiff argues that the arbitration agreement requires attorneys' fees awards not permissible in employment claims. The wording of the arbitration agreement reads in pertinent part, "The cost of the arbitrator and other incidental costs of arbitration that

would not be incurred in a court proceeding shall be borne by Heluna Health.

The parties shall each bear their own costs and attorneys' fees in any arbitration proceeding, provided, however, that the arbitrator shall have the authority to require either party to pay the costs and attorneys' fees of the other party, as is permitted under federal or state law, as a part of any remedy that may be ordered. . . . If the suit-filing party does not timely serve the agreement to arbitrate and the party seeking to enforce the arbitration agreement successfully compels the suit-filing party to arbitration, the party seeking to enforce this arbitration agreement shall be entitled to the reasonable attorneys' fees it incurred in enforcing this arbitration agreement." (Decl. Louis Gutierrez ¶ 6, Exh. A.) The only attorneys' fees allowable under the arbitration agreement would be that of enforcing the arbitration agreement as Plaintiff has provided citations that California law does not allow attorneys' fees awards in employment claims. Plaintiff's citations to *Ramirez v. Charter Commc'ns, Inc.* (2024) 16 Cal.5th 478 ("Ramirez") discusses this as an "award of interim attorney fees." (See Ramirez, *supra*, 16 Cal.5th at 507.) Specifically, Ramirez holds:

Under section K (Section K) of the Agreement, the parties agreed "that the failure or refusal of either party to submit to arbitration as required by this Agreement will constitute a material breach of this Agreement. If any judicial action or proceeding is commenced in order to compel arbitration, and if arbitration is in fact compelled or the party resisting submits to arbitration following the commencement of the action or proceeding, the party that resisted arbitration will be required to pay to the other party all costs, fees and expenses that they incur in compelling arbitration, including, without limitation, reasonable attorneys' fees." The trial court found this clause was "unusual, lack[ed] mutuality, and produce[d] overly harsh results." The Court of Appeal agreed, holding the clause is unenforceable because it violates FEHA's asymmetric rule regarding awards of costs and fees. We agree with the courts below that the clause has the potential to result in an unlawful award of attorney fees and is substantively unconscionable.

(Id. at 507-08.)

As held in Ramirez, the Court concludes that Heluna's provision giving party seeking to enforce this arbitration agreement a right to reasonable attorneys' fees it incurred in enforcing this arbitration agreement is substantively unconscionable.

Finally, the Court turns to the bar on judicial review in the arbitration agreement. The clause reads: "The decision of the arbitrator shall be binding and conclusive on the parties and cannot be reviewed for error of law or legal reasoning of any kind." (Decl. Louis Gutierrez ¶ 6, Exh. A) Provisions limiting appellate review of arbitration awards from that is permitted for cases that are brought to trial have been determined to be substantively unconscionable.

(Armendarez, supra, 24 Cal.4th 106, 115-16; Pearson Dental Supplies, Inc. v. Superior Court (2010) 48 Cal.4th 665, 676, 677-680.)

The provision in the arbitration agreement here is substantively unconscionable.

The Court does not find the other terms of the arbitration agreement to which Plaintiff objected substantively unconscionable.

The Court determines that the terms that are substantively are severable.

Only two terms are of substantively unconscionable. They do not permeate the agreement.

Further, the arbitration agreement provides the following regarding severability:

If any term, provision, covenant or condition of this policy is held by a court of competent jurisdiction or an arbitrator to be invalid, void, or unenforceable, the remaining terms and provisions of this policy will remain in full force and effect and shall in no way be affected, impaired or invalidated.

If any portion of this section is declared unenforceable by statute, ordinance or court decision, the remaining portion shall remain in full force and effect.

(Decl. Louis Gutierrez ¶ 6, Exh. A.)

Conclusion

Defendant

Public Health Foundation Enterprises, Inc. dba Heluna Health's Motion to Compel Arbitration is granted.

The

action, 26STCV11978 PASTOR OSUNA v, PUBLIC HEALTH FOUNDATION, is stayed pending the arbitration between Plaintiff Pastor Osuna and Defendant Public Health Foundation Enterprises, Inc. dba Heluna Health.

The Court sets and Order to Show Cause re Status of Arbitration for _____, 2026, at 8:30AM.

Date: 07/22/2026 _____

William

E. Weinberger

Judge,

Los Angeles Superior Court